

**BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT -
CUYAHOGA COUNTY
SCHEDULE OF REVENUE, EXPENDITURES, AND CHANGES
IN FUND BALANCES FOR THE FISCAL YEARS ENDED
JUNE 30, 2023, 2024 and 2025 ACTUAL
FORECASTED FISCAL YEARS ENDING
JUNE 30, 2026 THROUGH JUNE 30, 2030**



**Forecast Provided By
Brecksville-Broadview Heights City School District
Treasurer's Office
Craig Yaniglos, Treasurer/CFO
October 13, 2025**

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2023, 2024 and 2025 Actual;
Forecasted Fiscal Years Ending June 30, 2026 Through 2030

		Actual				Forecasted				
		Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Average Change	Fiscal Year 2026	Fiscal Year 2027	Fiscal Year 2028	Fiscal Year 2029	Fiscal Year 2030
Revenues										
1.010	General Property Tax (Real Estate)	\$39,770,524	\$40,357,962	\$40,117,300	0.4%	\$40,900,240	\$40,813,213	\$41,104,857	\$41,373,341	\$41,510,744
1.020	Public Utility Personal Property Tax	2,650,382	2,791,183	2,870,620	4.1%	3,026,281	3,135,891	3,175,106	3,214,321	3,253,536
1.030	Income Tax	0	0	0	0.0%	0	0	0	0	0
1.035	Unrestricted State Grants-in-Aid	4,588,410	4,775,060	4,729,169	1.6%	4,855,904	5,041,126	5,031,629	5,043,207	5,048,052
1.040	Restricted State Grants-in-Aid	708,505	923,412	1,070,631	23.1%	669,413	655,914	656,626	657,073	657,073
1.045	Restricted Federal Grants-in-Aid	0	0	0	0.0%	0	0	0	0	0
1.050	State Share of Local Property Taxes	4,155,231	4,181,098	4,284,704	1.6%	4,331,750	4,322,567	4,351,653	4,380,573	4,388,446
1.060	All Other Revenues	2,533,136	3,531,103	3,612,488	20.9%	3,241,254	3,091,254	3,041,254	3,091,254	3,091,254
1.070	Total Revenues	\$54,406,188	\$56,559,818	\$56,684,912	2.1%	\$57,024,842	\$57,059,965	\$57,361,125	\$57,759,769	\$57,949,105
Other Financing Sources										
2.010	Proceeds from Sale of Notes	0	0	0	0.0%	0	0	0	0	0
2.020	State Emergency Loans	0	0	0	0.0%	0	0	0	0	0
2.040	Operating Transfers-In	0	0	0	0.0%	0	0	6,000,000	0	0
2.050	Advances-In	0	0	0	0.0%	0	0	0	0	0
2.060	All Other Financing Sources	38,209	174,421	35,397	138.4%	35,000	35,000	35,000	35,000	35,000
2.070	Total Other Financing Sources	\$38,209	\$174,421	\$35,397	138.4%	\$35,000	\$35,000	\$6,035,000	\$35,000	\$35,000
2.080	Total Revenues and Other Financing Sources	\$54,444,397	\$56,734,239	\$56,720,309	2.1%	\$57,059,842	\$57,094,965	\$63,396,125	\$57,794,769	\$57,984,105
Expenditures										
3.010	Personal Services	\$33,691,592	\$34,489,628	\$35,476,480	2.6%	\$35,515,426	\$36,910,740	\$37,751,866	\$38,603,160	\$39,478,472
3.020	Employees' Retirement/Insurance Benefits	11,626,692	12,054,792	13,065,079	6.0%	14,216,174	15,184,618	16,168,670	17,036,993	17,966,932
3.030	Purchased Services	4,931,465	5,454,859	5,249,211	3.4%	5,872,786	5,921,307	6,041,281	6,091,487	6,142,194
3.040	Supplies and Materials	1,095,081	1,486,515	1,448,815	16.6%	1,359,574	1,373,169	1,386,901	1,400,771	1,414,779
3.050	Capital Outlay	72,485	91,096	80,134	6.8%	77,511	77,511	77,511	77,511	77,511
3.060	Intergovernmental	0	0	0	0.0%	0	0	0	0	0
Debt Service:					0.0%					
4.010	Principal-All (Historical Only)	0	0	0	0.0%	0	0	0	0	0
4.020	Principal-Notes	0	0	0	0.0%	0	0	0	0	0
4.030	Principal-State Loans	0	0	0	0.0%	0	0	0	0	0
4.040	Principal-State Advancements	0	0	0	0.0%	0	0	0	0	0
4.050	Principal-HB 264 Loans	0	0	0	0.0%	0	0	0	0	0
4.055	Principal-Other	0	0	0	0.0%	0	0	0	0	0
4.060	Interest and Fiscal Charges	0	0	-	0.0%	0	0	0	0	0
4.300	Other Objects	804,849	787,401	760,420	-2.8%	774,707	774,707	774,707	774,707	774,707
4.500	Total Expenditures	\$52,222,164	\$54,364,291	\$56,080,139	3.6%	\$57,816,178	\$60,242,052	\$62,200,936	\$63,984,629	\$65,854,595
Other Financing Uses										
5.010	Operating Transfers-Out	\$185,113	\$336,019	\$8,185,000	1208.7%	\$0	\$80,000	\$200,000	\$200,000	\$200,000
5.020	Advances-Out	0	0	0	0.0%	0	0	0	0	0
5.030	All Other Financing Uses	0	0	0	0.0%	0	0	0	0	0
5.040	Total Other Financing Uses	\$185,113	\$336,019	\$8,185,000	1208.7%	\$0	\$80,000	\$200,000	\$200,000	\$200,000
5.050	Total Expenditures and Other Financing Uses	\$52,407,277	\$54,700,310	\$64,265,139	10.9%	\$57,816,178	\$60,322,052	\$62,400,936	\$64,184,629	\$66,054,595
Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses		\$2,037,120	\$2,033,929	(\$7,544,830)	-235.6%	(\$756,336)	(\$3,227,087)	\$995,189	(\$6,389,860)	(\$8,070,490)
Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies										
7.010		\$22,705,699	\$24,742,819	\$26,776,748	8.6%	\$19,231,918	\$18,475,582	\$15,248,495	\$16,243,684	\$9,853,824
7.020	Cash Balance June 30	\$24,742,819	\$26,776,748	\$19,231,918	-10.0%	\$18,475,582	\$15,248,495	\$16,243,684	\$9,853,824	\$1,783,334
8.010	Estimated Encumbrances June 30	\$0	\$0	\$0	0.0%	\$150,000	\$150,000	\$150,000	\$150,000	\$150,000
Reservation of Fund Balance										
9.010	Textbooks and Instructional Materials	0	0	0	0.0%	0	0	0	0	0
9.020	Capital Improvements	0	0	0	0.0%	0	0	0	0	0
9.030	Budget Reserve	0	0	0	0.0%	0	0	0	0	0
9.040	DPIA	0	0	0	0.0%	0	0	0	0	0
9.045	Fiscal Stabilization	0	0	0	0.0%	0	0	0	0	0
9.050	Debt Service	0	0	0	0.0%	0	0	0	0	0
9.060	Property Tax Advances	0	0	0	0.0%	0	0	0	0	0
9.070	Bus Purchases	0	0	0	0.0%	0	0	0	0	0
9.080	Subtotal Reservations of fund Balance	\$0	\$0	\$0	0.0%	\$0	\$0	\$0	\$0	\$0
Fund Balance June 30 for Certification of Appropriations		\$24,742,819	\$26,776,748	\$19,231,918	-10.0%	\$18,325,582	\$15,098,495	\$16,093,684	\$9,703,824	\$1,633,334

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2023, 2024 and 2025 Actual;
Forecasted Fiscal Years Ending June 30, 2026 Through 2030

		Actual			Average Change	Forecasted				
		Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025		Fiscal Year 2026	Fiscal Year 2027	Fiscal Year 2028	Fiscal Year 2029	Fiscal Year 2030
Revenue from Replacement/Renewal Levies										
11.010	Income Tax - Renewal	0	0	0	0.0%	0	0	0	0	0
11.020	Property Tax - Renewal or Replacement	0	0	0	0.0%	0	0	0	0	0
11.300	Cumulative Balance of Renewal Levies	\$0	\$0	\$0	0.0%	\$0	\$0	\$0	\$0	\$0
<i>Fund Balance June 30 for Certification of Contracts, Salary Schedules and Other Obligations</i>										
12.010		\$24,742,819	\$26,776,748	\$19,231,918	-10.0%	\$18,325,582	\$15,098,495	\$16,093,684	\$9,703,824	\$1,633,334
Revenue from New Levies										
13.010	Income Tax - New	0	0	0	0.0%	0	0	0	0	0
13.020	Property Tax - New	0	0	0	0.0%	0	0	4,942,694	9,560,336	9,560,336
13.030	Cumulative Balance of New Levies	\$0	\$0	\$0	0.0%	\$0	\$0	\$4,942,694	\$14,503,030	\$24,063,366
14.010	Revenue from Future State Advancements				0.0%	-	-	-	-	-
15.010	Unreserved Fund Balance June 30	\$24,742,819	\$26,776,748	\$19,231,918	-10.0%	\$18,325,582	\$15,098,495	\$21,036,378	\$24,206,854	\$25,696,700

Brecksville-Broadview Heights City School District – Cuyahoga County
Notes to the Five-Year Forecast
General Fund Only
October 13, 2025

Introduction to the Five Year Forecast

A forecast is a snapshot of today. Based on historical trends, what we know and future assumptions. That snapshot, however, will be adjusted because the further into the future the forecast extends, the more likely it is that the projections will deviate from experience. Various events will ultimately impact the latter years of the forecast, such as state budgets (adopted every two years), new state mandates, tax levies, property reappraisals and updates, salary increases, health insurance increases, enrollment variances, or changes to property valuations due to businesses moving in or out of the district.

As noted below the current state budget approved in HB96 changed the forecast based on what the state Ohio and the Ohio Department of Workforce and Education will require, however the Board of Education will continue to plan over a five-year period. Our district leadership believes that the five-year forecast is a crucial management tool. A five-year planning horizon enables district management teams to examine future years' projections and identify when challenges will arise. This helps district management to be proactive in meeting those challenges.

In a financial forecast, the numbers only tell a small part of the story. For the numbers to be meaningful, the reader must review and consider the Assumptions to the Financial Forecast before drawing conclusions or using the data as a basis for other calculations. The assumptions are especially important to understanding the rationale of the numbers, particularly when a significant increase or decrease is reflected.

Here are three (3) essential purposes or objectives of the five-year forecast:

- (1) To engage the local board of education and the community in long-range planning and discussions of financial issues facing the school district.
- (2) To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. §5705.412, commonly known as the "412 certificate".
- (3) To provide a method for the Ohio Department of Education and Workforce, and the Auditor of State to identify school districts with potential financial problems.

Ohio HB96 was passed in June 2025 which amended O.R.C. 5705.391 and O.A.C. 3301-92.04 requiring a Board of Education (BOE) to file their current years budgeted revenue and expenses, and three additional years. This is essentially a four (4) year forecast. Beginning in fiscal year 2026 (July 1 to June 30) the financial forecast must be filed by October 15, and the end of February. The filing deadlines will change in fiscal year 2027 to August 31, and end of February each fiscal year thereafter. While the legislative requirement is to file a four-year forecast, as noted above, we believe it is a prudent business practice to continue to develop a five-year forecast for planning purposes. The five-year forecast includes three years of actual and five years of projected general fund revenues and expenditures. The first year of the financial forecast is considered the current year budget and is used as the base for future years projections. Our forecast is updated to reflect the most current economic data available for the October 2025 filing.

Economic Outlook

Ohio's economic outlook indicates slow but steady growth, with industrial diversification in manufacturing, logistics, and technology, with an unemployment rate expected to remain between 4.5% and 5%, The state faces challenges including workforce issues particularly in attracting and retaining skilled labor and the need for affordable housing. In the short term, the state anticipates continued to moderate growth despite national and global challenges such as inflation and interest rates, while the long term depends on continued strategic

investment in high-growth sectors and addressing the skilled workforce shortage to make Ohio competitive. These conditions should result in stable revenue enabling the state to continue current levels of funding for school districts and stable local revenue as unemployment remains low.

Data and assumptions noted in this forecast are based on the best and most reliable data available to us as of the date of this forecast.

Forecast Risks and Uncertainty:

A five-year financial forecast has risks and uncertainty not only due to economic delays noted above but also due to state legislative changes that will occur in the spring of 2027 and 2029 due to deliberation of the following two (2) state biennium budgets for FY28-29 and FY30-31, both of which affect this five-year forecast. We have estimated revenues and expenses based on the best data available and the laws currently in effect. The items below give a short description of the current issues and how they may affect our forecast in the long term:

- I. Property tax collections are the largest single revenue source for the school system. We project growth in appraised values every three (3) years and new construction growth with modest increases in local taxes. Total local revenues, predominately local taxes, equate to 82.7% of the district's resources. Our tax collections in the spring and fall settlements showed average collection trends.
- II. Cuyahoga County experienced a reappraisal for tax year 2024 for collection in FY25. The values increased for Class I and II property by \$273.59 million for an overall increase of 21.46%. A reappraisal update will occur in tax year 2026 for collection in FY27. We anticipate future reappraisal and/or update values to be much lower than historical trends. There is always a risk that the district could sustain a reduction in values or changes to tax laws by the Ohio Legislature.
- III. Due to historic property value increases in reappraisal and update years the Ohio Legislature has considered various proposals since 2023 to help reduce non-voted tax increases on taxpayers. HB96 the current state biennium budget passed in June which included several proposals that would have ultimately reduced districts' cash balances and placed severe restrictions on increasing local tax revenues. The Governor vetoed four (4) property tax measures that he said would jeopardize the financial stability of public schools. The Ohio House of Representatives pulled three (3) of the Governor's vetoes addressing school districts to attempt to override them. They included: 1) County Budget Commission Authority; 2) manipulates the calculation of the 20-mill floor to include emergency, substitute and other levies in the calculation; and 3) the elimination of various levies including emergency, replacement and renewal levies

The Ohio House of Representatives met on July 21, 2025 and voted (61-28) in favor of overriding the elimination of various levy types. On October 1, the Senate convened and voted to finalize the elimination of emergency and substitute levy types. As a result, districts would only be able to replace existing emergency levy revenue with operating levy revenue.

As part of the Governors' vetoes, he created a property tax reform working group co-chaired by former legislators. The governor appointed 11 members including the co-chairs. The working group is tasked with thoroughly examining issues related to how to provide meaningful property tax relief to homeowners and businesses while ensuring that funding for local schools, local governments, fire, police, EMS, libraries, and developmental disabilities is adequate. The Governor has asked the working group to issue a report with concrete proposals by September 30, 2025

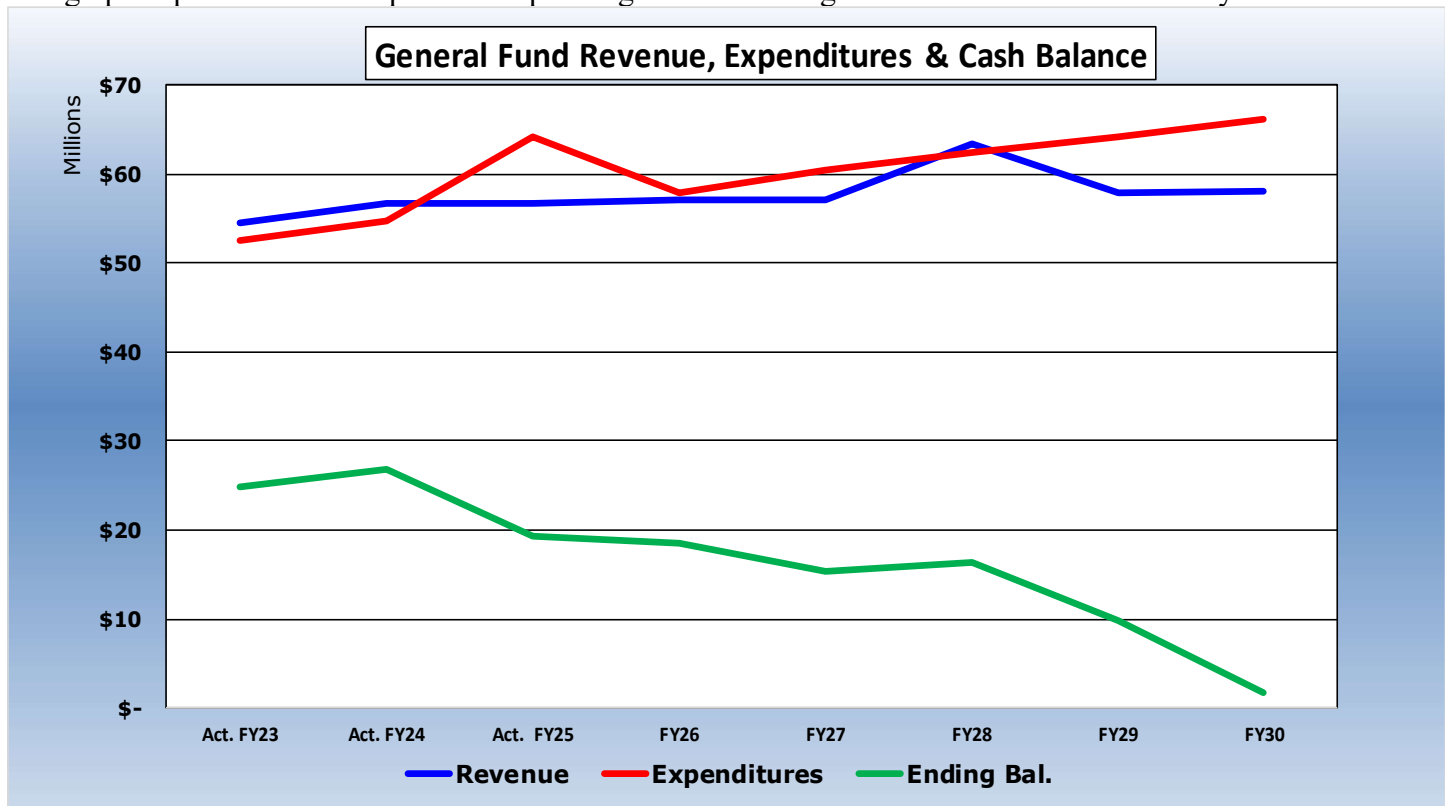
The legislature has introduced several other bills that would limit real estate tax growth or eliminate real estate tax collections completely. Many of these bills are still in committee. Many of these pending

bills represent a serious risk to our school district funding. We are watching legislation closely for any impact on our local revenues.

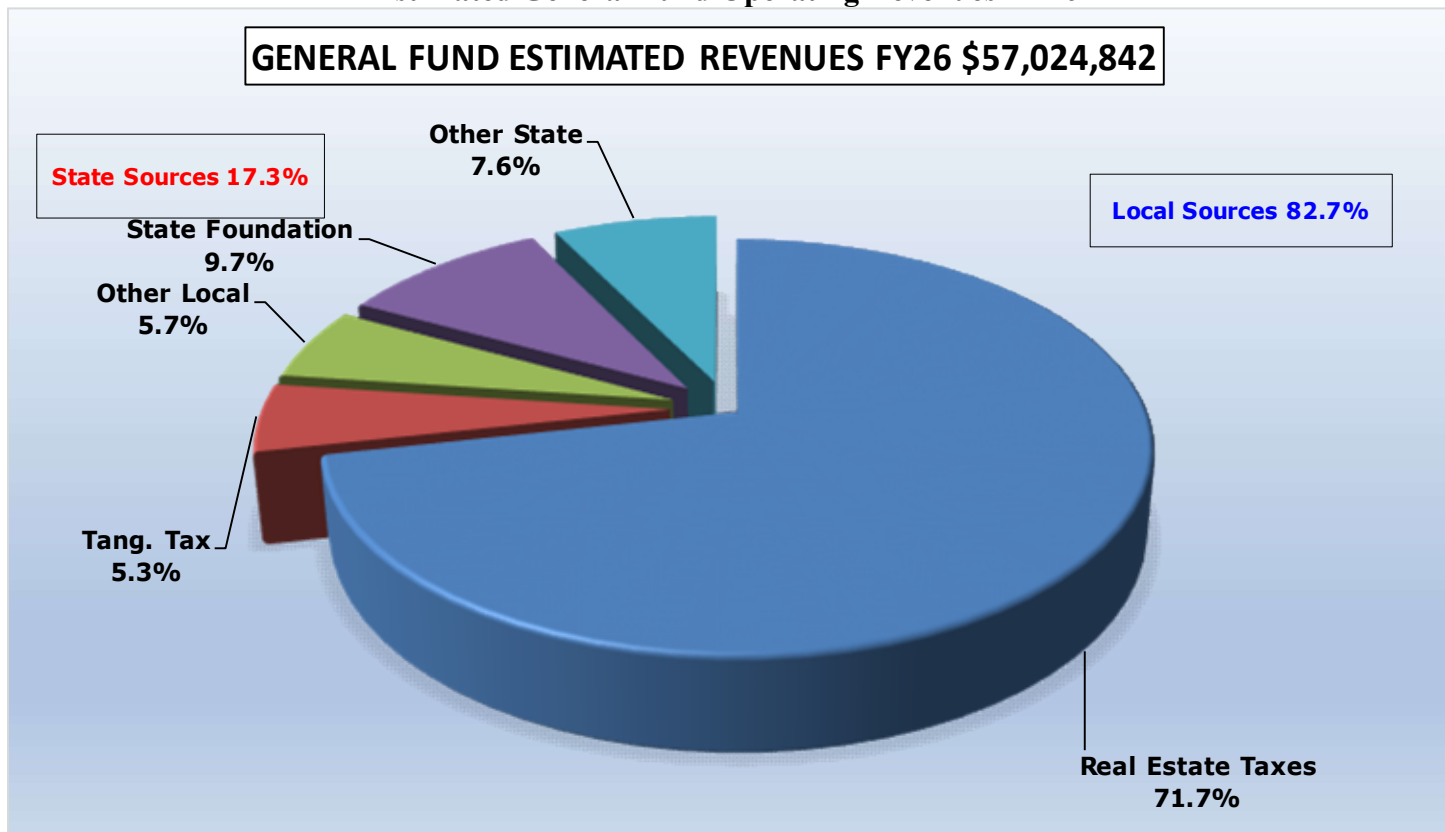
- IV. The state budget represented 17.3% of district revenues, which means it is a significant risk to the revenue. The future risk comes in FY28 and beyond if the state economy stalls due to a possible recession and the Fair School Funding Plan is not continued and funded in the next state biennium budget. In this forecast, there are two unknown future State Biennium Budgets covering FY28-29 and FY30-31. Future uncertainty in the state foundation funding formula and the state's economy makes this area an elevated risk to district funding long-range through FY30. We have projected our state funding in FY26 based on HB96 legislation with the Governor's vetoes in place. This forecast reflects state revenue to align with the FY27 funding levels through FY30, which we feel is conservative and should be close to what the state approves for the next two biennium budgets. We will adjust the forecast in future years as we have data to make an informed decision.
- V. HB96, the current state budget, continues to phase in what has been referred to as the Fair School Funding Plan (FSFP) for FY26 and FY27. FY26 reflects 83.33% of the implementation cost at year five of a six-year phase-in plan, which increases by 16.66% each year. FY27 will result in 100% funding of (FSFP). HB96 did not increase the base cost inputs (no increase from the state on formula funding) while allowing local capacity inputs to increase. This causes more districts to appear to have greater local ability to fund their schools thus reducing the amount of State Aid they receive. We have used the most recent simulations published by the Department of Education and Workforce for our forecasted revenues in FY26.
- VI. HB96, the current state biennium budget also enacted a new provision called "Piggyback Property Tax Exemptions". This provision allows county commissioners in each county in Ohio to double the current Homestead Exemption and owner occupied 2.5% tax credit. Current Homestead and 2.5% owner occupied credits are reimbursed to the district from the state of Ohio. These "Piggyback Property Tax Exemptions" would NOT be reimbursed. The extended tax credits for qualifying taxpayers would result in reduced property tax collections for the school district if our County Commissioners implement this. This new law creates a potential risk to our local tax collections.
- VII. Labor relations in our district have been amicable with all parties working for the best interest of students and realizing the resource challenges we face. We believe as we move forward our positive working relationship will continue and will only grow stronger.

The significant lines of reference for the forecast are noted below in the headings to make it easier to relate the assumptions made for the forecast item and refer back to the forecast. It should be of assistance to the reader to review the assumptions noted below in understanding the overall financial forecast for our district. If you would like further information, please feel free to contact Craig Yaniglos, Treasurer of Brecksville-Broadview Heights City School District.

General Fund Revenue, Expenditures and Ending Cash Balance Actual FY23-25 and Estimated FY26-30
 The graph captures in one snapshot the operating scenario facing the district over the next few years.



Revenue Assumptions
Estimated General Fund Operating Revenues FY26



Real Estate Value Assumptions – Line #1.010

Property Values are established each year by the County Auditor based on new construction, demolitions, BOR/BTA activity and complete reappraisal or updated values. Cuyahoga County experienced a full reappraisal in tax year 2024 and the district saw a 24.58% increase in residential and 5.02% in commercial property values. Residential/Agricultural and Commercial/Industrial values increased by \$273.59 million or 21.46% overall.

Public Utility Personal Property (PUPP) values increased by \$3.4 million in Tax Year 2024. We expect our values to continue to grow by \$500,000 each year of the forecast.

We have been conservative with any future value increases for reappraisal or updates due to uncertainty over pending legislative as noted in the Forecast Risks and Uncertainty above.

ESTIMATED ASSESSED VALUE (AV) BY COLLECTION YEAR

	Actual	Actual	Actual	Estimated	Estimated
	TAX YEAR 2025	TAX YEAR 2026	TAX YEAR 2027	TAX YEAR 2028	TAX YEAR 2029
Classification	COLLECT 2026	COLLECT 2027	COLLECT 2028	COLLECT 2029	COLLECT 2030
Res./Ag.	\$1,336,365,110	\$1,338,015,110	\$1,406,565,866	\$1,408,215,866	\$1,409,865,866
Comm./Ind.	215,304,940	217,104,940	223,247,039	225,047,039	226,847,039
Public Utility Personal Property (PUPP)	39,698,310	40,198,310	40,698,310	41,198,310	41,698,310
Total Assessed Value	<u>\$1,591,368,360</u>	<u>\$1,595,318,360</u>	<u>\$1,670,511,214</u>	<u>\$1,674,461,214</u>	<u>\$1,678,411,214</u>

Tax Rate Assumptions

The county auditor sets tax rates for each levy voted on to provide tax revenues for the school district. Ohio law provides for “reduction factors” of all voted property tax levies to adjust the millage rates lower for the levy to not increase from inflation of property values for the taxes received by a district to that of the actual amount of the levy at the time of the election. The reduction factors are applied separately to Residential/Agriculture (Class I) and Commercial/Industrial (Class II) resulting in different effective millage rates. The district-voted rate for all general fund levies is 78.43 mills while the Class I effective millage rate is 24.07 mills and the Class II effective millage rate is 36.3 mills. The Ohio law has a provision that the reduction factors cannot lower the total millage rate for each class less than 20 mills (excluding emergency and substitute emergency levies), which includes both the voted and the non-voted millage rates; this is called the “20-Mill Floor”. Currently, our district is not on the floor for either Class I or Class II.

ESTIMATED REAL ESTATE TAX (Line #1.010)

Source	FY26	FY27	FY28	FY29	FY30
Est. Real Estate Taxes	<u>\$40,900,240</u>	<u>\$40,813,213</u>	<u>\$41,104,857</u>	<u>\$41,373,341</u>	<u>\$41,510,744</u>
Total Line #1.01 Real Estate Taxes	<u>\$40,900,240</u>	<u>\$40,813,213</u>	<u>\$41,104,857</u>	<u>\$41,373,341</u>	<u>\$41,510,744</u>

Property tax levies are estimated to be collected at 95% of the annual amount. This allows 5% delinquency factor. In general, 53.07% of the Res/Ag and Comm/Ind property taxes are expected to be collected in the February tax settlement and 46.93% collected in the August tax settlement.

Public Utility tax settlements (PUPP taxes) are estimated to be received 57% in February and 43% in August settlement from the County Auditor and are noted in Line #1.02 totals below.

Estimated Public Utility Personal Property Tax (PUPP) – Line #1.020

The amounts below are public utility tangible personal property (PUPP) tax payments from public utilities. The values for PUPP are noted in the table above, which is expected to be \$39.69 million in assessed values in 2025

and is collected at the district's full voted millage rate. Collections are typically 57% in February and 43% in August, along with the real estate settlements from the county auditor. The values in 2024 rose by 21.14% or \$3.4 million and are expected to grow by \$500 million each year of the forecast.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Public Utility Personal Property	\$3,026,281	\$3,135,891	\$3,175,106	\$3,214,321	\$3,253,536
Total PUPP Tax Line #1.020	<u>\$3,026,281</u>	<u>\$3,135,891</u>	<u>\$3,175,106</u>	<u>\$3,214,321</u>	<u>\$3,253,536</u>

New Tax Levies – Line #13.030

The district is currently forecasting a 5.9-mill operating levy that would be placed on the ballot in 2027, with collections beginning in 2028. However, ongoing discussions around property tax reform and changes to state funding at the statehouse are creating uncertainty. As a result, the district is considering several options, including the possibility of introducing a levy that would begin collections a year earlier. The proposed millage could range from 3.5 to 6 mills, depending on economic conditions and legislative developments. The district expects to have a clearer understanding of the situation during the fiscal year.

State Foundation Revenue Estimates – Lines #1.035, 1.040 and 1.045

Current State Funding Model per HB96 through June 30, 2027

A) Unrestricted State Foundation Revenue– Line #1.035

HB96, the current state budget, continued the Fair School Funding Plan for FY26 and FY27, which funds students where they are educated rather than where they live. We have projected FY26 funding based on the most current foundation settlement and funding factors.

Our district is currently a guarantee district in FY26 and is expected to continue to be on the guarantee in FY27-FY30 on the Fair School Funding Plan (FSFP).

A detailed overview of how foundation funding is calculated including all of the HB96 changes on the Ohio Department of Education and Workforce is not available at this time. When a detailed analysis is available, please visit the Ohio Department of Education and Workforce at: <https://education.ohio.gov/Topics/Finance-and-Funding/Overview-of-School-Funding>.

State Funding FY26-FY27

The Fair School Funding Plan was presented as a six (6) year phase-in plan, the state legislature approved the final two (2) years of the funding plan in HB96 phasing in funding at 83.33% in FY26 and then 100% in FY27. However, the legislature did not increase the funding base inputs from FY25. In other words, the legislature did not increase funding in the foundation formula. They did increase transportation funding's state share percentage to 45.83% in FY26, and 50% in FY27, which could increase funding, and; they added three (3) Supplemental Payments outside the formula: a Base Funding Supplement, Enrollment Growth Supplement and Performance Supplement.

The Base Funding Supplement will be paid to all districts. The funding supplement per pupil is \$27 in FY26 and \$40 in FY27.

The Enrollment Growth Supplement is paid to eligible districts based on the current FY26 enrolled ADM multiplied by \$225 per student, and in FY27 based on FY27 enrolled ADM multiplied by \$250. To be eligible enrolled ADM growth between FY22 and FY25 must equal or exceed 5% growth, and FY27 enrolled ADM growth between FY23 and FY26 must equal or exceed 3%. Our district does not qualify for this payment.

The Performance Supplement was included in HB96. The eligibility for the supplement payment uses data from the state report card for the 2024-2025 school year for FY26 and 2025-2026 school year for FY27; the payment will be a separate payment of \$13 per pupil in FY26 and FY27. We will not know until later in FY26 if we will receive this additional funding.

The funding formula eliminated the Supplemental Targeted Assistance guarantee beginning in FY26, but still includes two (2) primary guarantees: 1) Temporary Transition Aid, and 2) Formula Transition Supplement. The two (2) guarantees in both temporary and permanent law ensure that no district will get fewer funds in FY26 and FY27 than they received in FY21.

Future State Budget Projections beyond FY27

Our funding status for FY28-FY30 will depend on unknown two (2) new state budgets. There is no guarantee that the current Fair School Funding Plan will be continued in future biennial budget processes; therefore, our state funding estimates are reasonable, and we will adjust the forecast when we have authoritative data to work with. For this reason, funding is held constant in the forecast for FY28 through FY30.

Casino Revenue

On November 3, 2009, Ohio voters passed the Ohio casino ballot issue. This issue allowed four (4) casinos to open in Cleveland, Toledo, Columbus, and Cincinnati. Thirty-three percent (33%) of the gross casino revenue will be collected as a tax. School districts will receive 34% of the 33% of Gross Casino Revenue that will be paid into a student fund at the state level. These funds will be distributed to school districts on the 31st of January and August each year, beginning for the first time on January 31, 2013.

In FY25, the funding totaled \$114.30 million or \$65.70 per pupil. We expect the Casino revenues to have resumed their historical growth rate and are assuming a 2% annual growth rate for the remainder of the forecast.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Basic Aid-Unrestricted	\$4,085,904	\$4,238,109	\$4,223,972	\$4,230,807	\$4,230,807
Additional Aid Items	541,976	570,421	570,421	570,421	570,421
Basic Aid-Unrestricted Subtotal	4,627,880	4,808,530	4,794,393	4,801,228	4,801,228
Ohio Casino Commission ODT	228,024	232,596	237,236	241,979	246,824
Total Unrestricted State Aid Line #1.035	<u>\$4,855,904</u>	<u>\$5,041,126</u>	<u>\$5,031,629</u>	<u>\$5,043,207</u>	<u>\$5,048,052</u>

B) Restricted State Revenues – Line # 1.040

HB96 has continued Disadvantaged Pupil Impact Aid, Career Technical, Gifted, English Learners (ESL), and Student Wellness funding. We have estimated revenues for these new restricted funding lines using the most current funding factors available. For fiscal years 2026 and 2027, HB96 modifies how DPIA is calculated by factoring in both directly certified and economically disadvantaged students. The new formula modified the weight given to these student groups over the biennium. We will not see the specific impact of this until after this forecast period.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Economically Disadvantaged Aid	\$14,107	\$15,725	\$15,725	\$15,725	\$15,725
ESL	18,562	21,647	22,359	22,806	22,806
Gifted	101,980	83,778	83,778	83,778	83,778
Career Tech - Restricted	0	0	0	0	0
Student Wellness	134,764	134,764	134,764	134,764	134,764
Other Restricted	0	0	0	0	0
Catastrophic Aid	400,000	400,000	400,000	400,000	400,000
Total Restricted State Revenues Line #1.040	<u>\$669,413</u>	<u>\$655,914</u>	<u>\$656,626</u>	<u>\$657,073</u>	<u>\$657,073</u>

C) Restricted Federal Grants in Aid – Line #1.045

There are no federal restricted grants projected during this forecast.

<u>SUMMARY</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Unrestricted Line #1.035	\$4,855,904	\$5,041,126	\$5,031,629	\$5,043,207	\$5,048,052
Restricted Line #1.040	669,413	655,914	656,626	657,073	657,073
Rest. Federal Funds #1.045	0	0	0	0	0
Total State Foundation Revenue	<u>\$5,525,317</u>	<u>\$5,697,040</u>	<u>\$5,688,255</u>	<u>\$5,700,280</u>	<u>\$5,705,125</u>

State Reimbursement for Property Tax Credits – Line #1.050

a) Rollback and Homestead Reimbursement

Rollback funds are reimbursements paid to the district from the State of Ohio for tax credits given to owner-occupied residences. Credits equal 12.5% of the gross property taxes charged to residential taxpayers on levies passed before September 29, 2013. HB59 eliminated the 10% and 2.5% rollback on new levies approved after September 29, 2013. And Homestead Exemptions are credits paid to the district from the state of Ohio for qualified elderly and disabled.

HB96, the current state biennium budget also enacted a new provision called “Piggyback Property Tax Exemptions”. This provision allows county commissioners in each county in Ohio to double the current Homestead Exemption and owner occupied 2.5% tax credit. The extended tax credits for qualifying taxpayers would result in reduced property tax collections for the school district if our County Commissioners implement this. This new law creates a potential risk to our local tax collections.

Summary of State Reimbursement for Property Tax Credits – Line #1.050

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Rollback and Homestead	<u>\$4,331,750</u>	<u>\$4,322,567</u>	<u>\$4,351,653</u>	<u>\$4,380,573</u>	<u>\$4,388,446</u>
b) TPP Reimbursement - Fixed Rate	0	0	0	0	0
c) TPP Reimbursement - Fixed Sum	0	0	0	0	0
Total Tax Reimbursements #1.050	<u>\$4,331,750</u>	<u>\$4,322,567</u>	<u>\$4,351,653</u>	<u>\$4,380,573</u>	<u>\$4,388,446</u>

Other Local Revenues – Line #1.060

All other local revenue encompasses any revenue that does not fit the above lines. The primary sources of revenue in this area have been, interest on investments, tuition for court-placed students, student fees, Payment In Lieu of Taxes, and general rental fees.

Interest income is based on the district’s cash balances. While interest income in FY26 should remain steady due to laddered investment strategies, expected Federal Reserve rate cuts will begin to have an impact on earnings in FY27 and future years. We will continue to monitor the investments for the district.

The district has entered into a Tax Increment Financing (TIF) Agreement. The revenue is expected to continue to rise over time.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Tuition Related Payments	\$958,567	\$958,567	\$958,567	\$958,567	\$958,567
Medicaid	150,000	150,000	150,000	150,000	150,000
Class & Sports Oriented Fees	265,000	265,000	265,000	265,000	265,000
Interest Earnings	1,000,000	750,000	600,000	500,000	500,000
Payments In Lieu of Taxes (TIF)	550,000	650,000	750,000	900,000	900,000
Rental Related Fees	65,000	65,000	65,000	65,000	65,000
Erate	12,687	12,687	12,687	12,687	12,687
Miscellaneous	<u>240,000</u>	<u>240,000</u>	<u>240,000</u>	<u>240,000</u>	<u>240,000</u>
Total Other Local Revenue Line #1.060	<u>\$3,241,254</u>	<u>\$3,091,254</u>	<u>\$3,041,254</u>	<u>\$3,091,254</u>	<u>\$3,091,254</u>

Short-Term Borrowing – Lines #2.010 & Line #2.020

There is no short-term borrowing projected in this forecast.

Transfers In / Return of Advances – Line #2.040 & Line #2.050

The district expects a transfer in from funds they may not spend from the 070 capital projects fund.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Transfers In - Line #2.040	\$0	\$0	\$6,000,000	\$0	\$0

All Other Financial Sources – Line #2.060 & Line #14.010

This funding source is typically a refund of prior year expenditures that is very unpredictable. For future years we are estimating an amount of refunds that align with historical collections.

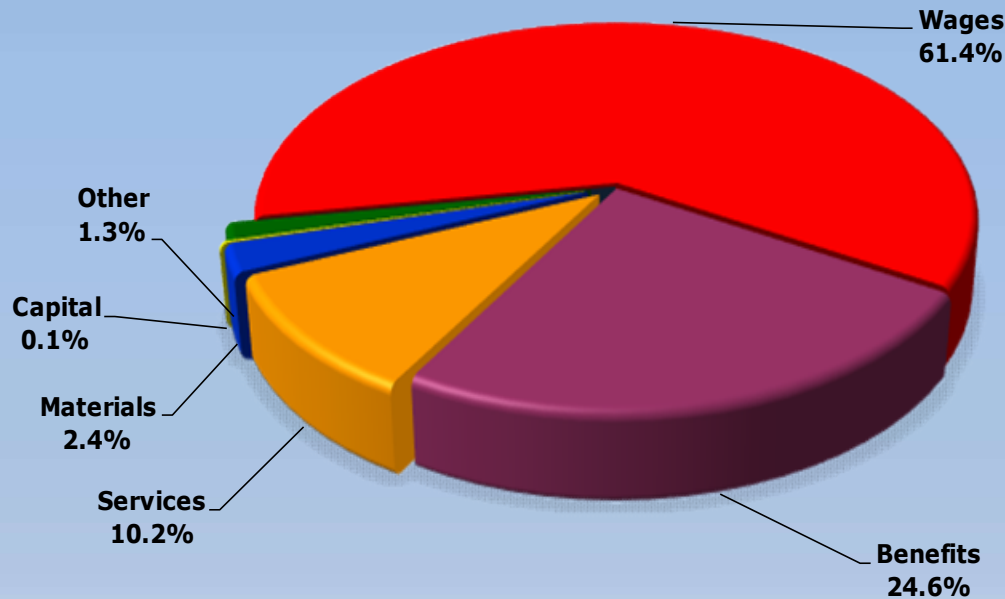
<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Refund of prior years expenditures	<u>\$35,000</u>	<u>\$35,000</u>	<u>\$35,000</u>	<u>\$35,000</u>	<u>\$35,000</u>

Expenditures Assumptions

The district's leadership team is always looking at ways to improve the education of the students whether it be with changes in staffing, curriculum, or new technology needs. As the administration of the district reviews expenditures, the education of the students is always the main focus for resource utilization.

Estimated General Fund Operating Expenditures for FY26

GENERAL FUND OPERATING EXPENDITURES EST. FY26 \$57,816,178



Personnel Services – Employee's Salaries & Wages – Line #3.010

Negotiations with bargaining unit members resulted in an agreement to include a base increase of 2.75% in FY25, 2.85% in FY26 and 3.25% in FY27 for certified and a base increase of 2.85% in FY25, 3.0% in FY26 and 3.00% in FY27 for classified. For planning purposes, a 1.75% base increase is planned FY28-FY30.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Base Wages	\$33,569,415	\$34,576,143	\$35,949,868	\$36,778,991	\$37,618,072
Based Pay Increase	956,728	1,123,725	629,123	643,632	658,316
Steps & Academic Training	500,000	400,000	400,000	395,449	404,569
Leaving Staff	(450,000)	(150,000)	(200,000)	(200,000)	(200,000)
New Staff	0	0	0	0	0
Substitutes	275,000	275,000	275,000	275,000	275,000
Supplementals	664,283	685,872	697,875	710,088	722,515
Severance	0	0	0	0	0
SWSF & CARES Adjustments	0	0	0	0	0
Other Adjustments/Reductions	0	0	0	0	0
Total Wages Line #3.010	<u>\$35,515,426</u>	<u>\$36,910,740</u>	<u>\$37,751,866</u>	<u>\$38,603,160</u>	<u>\$39,478,472</u>

Employee's Retirement & Insurance Benefits Estimates Line #3.02

This area of the forecast captures all costs associated with benefits and retirement costs, all of which are directly related to the wages paid with the exception of health and life insurance benefits.

A) STRS/SERS

As the law requires, the BOE pays 14% of all employee wages to STRS or SERS. The district is also required to pay SERS Surcharge, an additional employer charge based on the salaries of lower-paid members. It is exclusively used to fund health care.

B) Insurance

The district has an 11.0% increase in premiums estimated for FY26, an estimated 10% increase in FY27 and FY28, and 8% increases estimated for FY29-FY30. By FY27, the district will pay 83.5% instead of the previous rate of 85%.

C) Workers Compensation & Unemployment Compensation

Workers Compensation is expected to remain at about 0.44% of wages in fiscal years FY26 through FY30. Unemployment Compensation has been negligible and is anticipated to remain as such as we plan our staffing needs carefully.

D) Medicare

Medicare will continue to increase at the rate of increases in wages and as new employees are hired. Contributions are 1.45% for all new employees to the district on or after April 1, 1986. These amounts are growing at the general growth rate of wages.

E) Other/Tuition

The district reimburses employees for the tuition to further their education to maintain licensure for teaching. The district does not anticipate any significant increases during the forecast.

Summary of Fringe Benefits – Line #3.02

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
A) STRS/SERS	\$5,475,701	\$5,686,146	\$5,824,510	\$5,956,127	\$6,091,257
B) Insurance's	8,046,284	8,777,912	9,607,703	10,328,319	11,106,585
C) Workers Comp/Unemployment	167,268	173,407	177,108	180,854	184,705
D) Medicare	514,974	535,206	547,402	559,746	572,438
Other/Tuition/Annuities	<u>11,947</u>	<u>11,947</u>	<u>11,947</u>	<u>11,947</u>	<u>11,947</u>
Total Fringe Benefits Line #3.020	<u>\$14,216,174</u>	<u>\$15,184,618</u>	<u>\$16,168,670</u>	<u>\$17,036,993</u>	<u>\$17,966,932</u>

Purchased Services – Line #3.030

College Credit Plus, excess fees, and other tuition costs will continue to draw funds away from the district, which will continue in this area and has been adjusted based on historical trends. The district anticipates inflationary increases in this area during the forecast.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Professional & Technical Services, ESC	\$2,946,524	\$2,975,990	\$3,005,750	\$3,035,808	\$3,066,166
Maintenance, Insurance & Garbage Removal	615,459	621,614	627,830	634,108	640,449
Professional Development	73,400	74,134	74,875	75,624	76,380
Communications, Postage, & Telephone	67,245	67,917	68,596	69,282	69,975
Utilities	1,111,132	1,122,243	1,133,465	1,144,800	1,156,248
Contracted Trades & Services	38,262	38,644	110,000	111,100	112,211
Tuition, Excess Costs & Scholarship Costs	701,098	701,098	701,098	701,098	701,098
College Credit Plus	78,000	78,000	78,000	78,000	78,000
Contract Transportation	241,667	241,667	241,667	241,667	241,667
Other Adjustments SWSF, CARES, Etc.	0	0	0	0	0
Miscellaneous Purchased Services	0	0	0	0	0
Total Purchased Services Line #3.030	<u>\$5,872,786</u>	<u>\$5,921,307</u>	<u>\$6,041,281</u>	<u>\$6,091,487</u>	<u>\$6,142,194</u>

Supplies and Materials – Line #3.040

Expenses which are characterized by curricular supplies, testing supplies, copy paper, maintenance and custodial supplies, materials, and bus fuel. An average increase of 1% is projected in this area for the forecasted period.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
General Office Supplies & Materials	\$507,014	\$512,084	\$517,205	\$522,377	\$527,601
Textbooks & Instructional Supplies	118,009	119,189	120,381	121,585	122,801
Facility Supplies & Materials	293,551	296,486	299,451	302,446	305,470
Transportation Fuel & Supplies	441,000	445,410	449,864	454,363	458,907
Other adjustments SWSF, CARES, Etc.	0	0	0	0	0
Total Supplies Line #3.040	<u>\$1,359,574</u>	<u>\$1,373,169</u>	<u>\$1,386,901</u>	<u>\$1,400,771</u>	<u>\$1,414,779</u>

Capital Outlay – Line #3.050

The district does not anticipate costs increasing significantly in this line because most capital outlay is paid by the Permanent Improvement Fund.

<u>Source</u>	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Capital Outlay & Maintenance	\$54,000	\$54,000	\$54,000	\$54,000	\$54,000
Technology/Curriculum Purchases	6,500	6,500	6,500	6,500	6,500
Busses & Other Vehicles	17,011	17,011	17,011	17,011	17,011
Other adjustments SWSF, CARES, Etc.	0	0	0	0	0
Total Equipment Line #3.050	<u>\$77,511</u>	<u>\$77,511</u>	<u>\$77,511</u>	<u>\$77,511</u>	<u>\$77,511</u>

Principal and Interest Payment – Lines #4.010 through 4.060

There are no borrowings planned in the forecast period.

Other Objects – Line #4.300

The category of Other Expenses consists primarily of Auditor & Treasurer fees, our annual audit and other miscellaneous expenses. We are projecting no increase in this area.

Source	FY26	FY27	FY28	FY29	FY30
County Auditor & Treasurer Fees	\$535,000	\$535,000	\$535,000	\$535,000	\$535,000
ESC Deduction	23,000	23,000	23,000	23,000	23,000
Increased A&T Fees for New Levies	0	0	0	0	0
Dues, Fees & other Expenses	<u>216,707</u>	<u>216,707</u>	<u>216,707</u>	<u>216,707</u>	<u>216,707</u>
Total Other Expenses Line #4.300	<u>\$774,707</u>	<u>\$774,707</u>	<u>\$774,707</u>	<u>\$774,707</u>	<u>\$774,707</u>

Transfers Out/Advances Out – Line #5.010

This account group includes fund-to-fund transfers and short-term, year-end loans from the General Fund to other funds, which are later repaid once reimbursements are received.

Source	FY26	FY27	FY28	FY29	FY30
Operating Transfers Out Line #5.010	\$0	\$80,000	\$200,000	\$200,000	\$200,000
Advances Out Line #5.020	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total Transfer & Advances Out	<u>\$0</u>	<u>\$80,000</u>	<u>\$200,000</u>	<u>\$200,000</u>	<u>\$200,000</u>

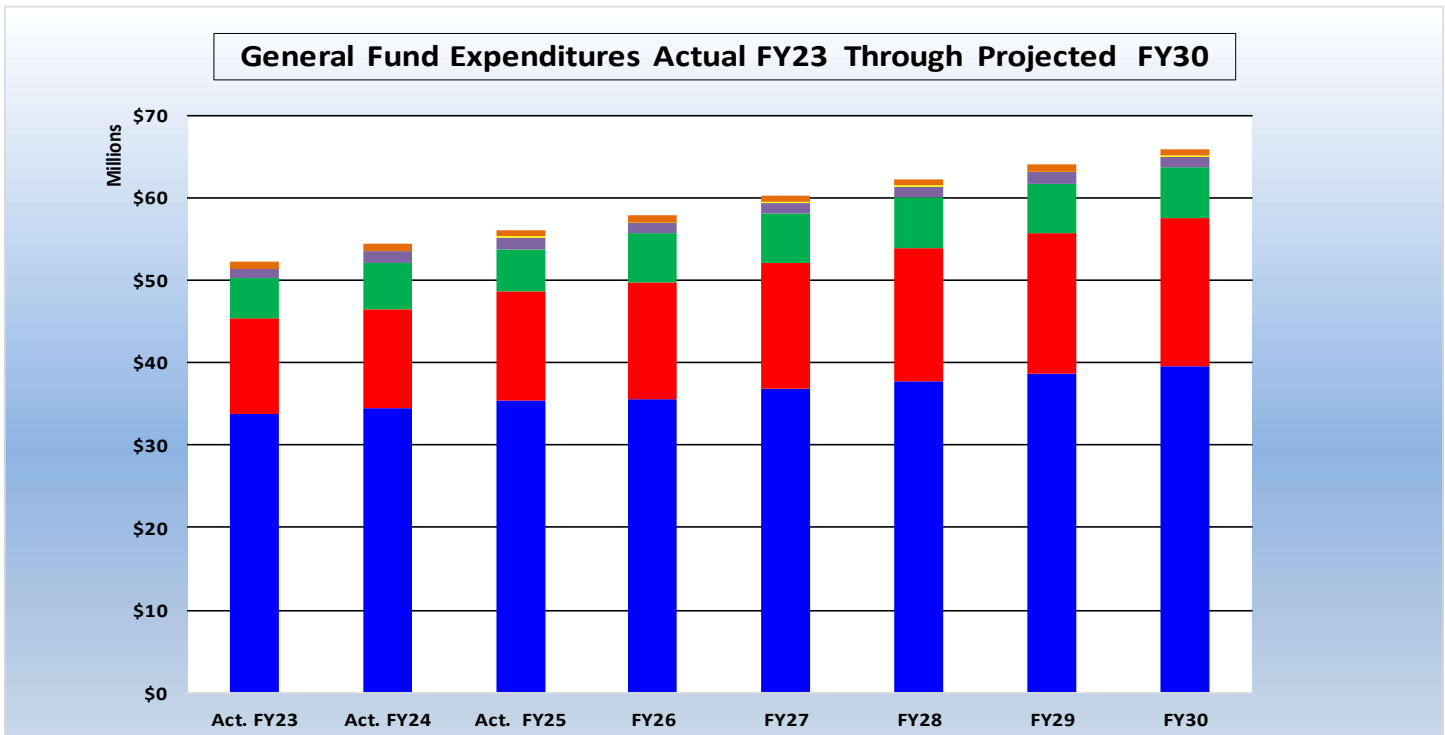
Encumbrances – Line #8.010

These are outstanding purchase orders that have not been approved for payment as the goods were not received in the fiscal year in which they were ordered.

	FY26	FY27	FY28	FY29	FY30
Estimated Encumbrances Line #8.010	<u>\$150,000</u>	<u>\$150,000</u>	<u>\$150,000</u>	<u>\$150,000</u>	<u>\$150,000</u>

Operating Expenditures Actual FY23 through FY25 and Estimated FY26-FY30

As the graph on the following page indicates, we have diligently contained costs due to lower and flat state revenues. We control our expenses while balancing students' academic needs to enable them to excel and perform well on state performance standards.



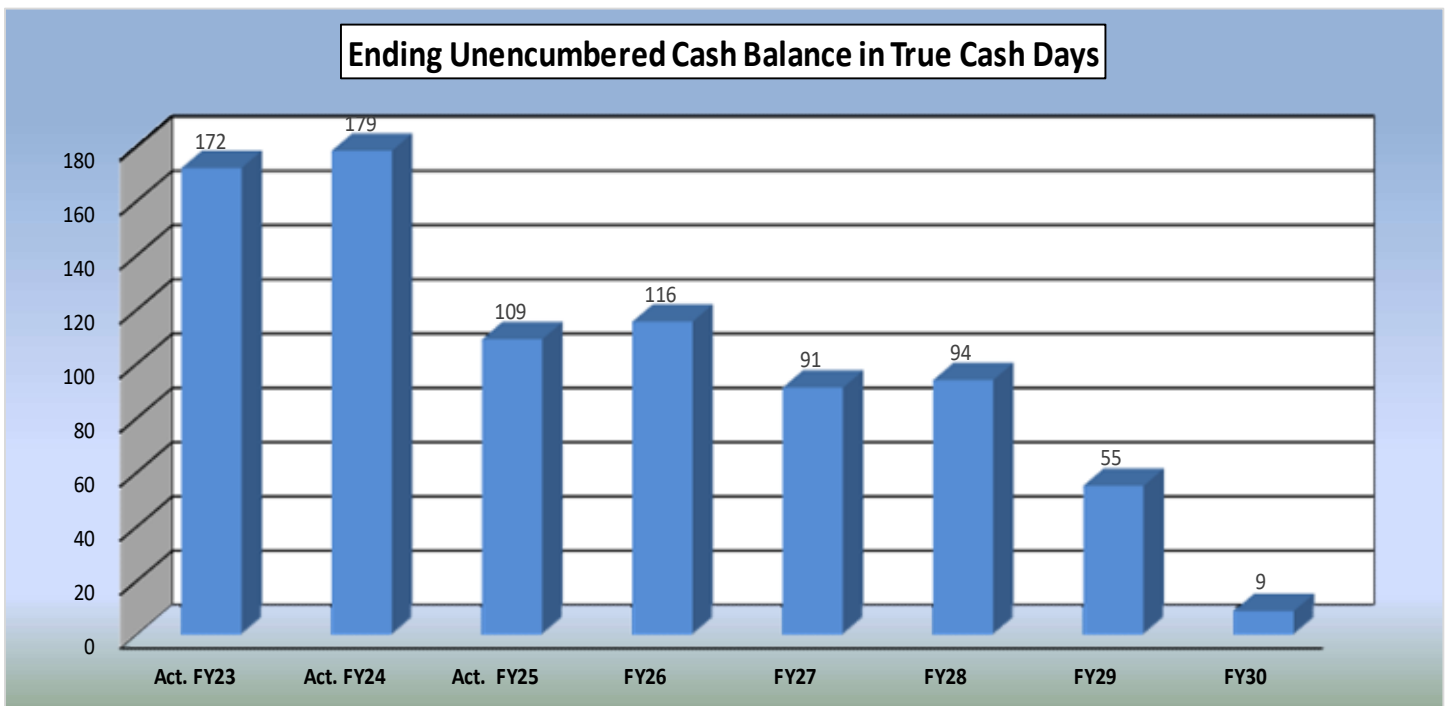
Ending Unencumbered Cash Balance “The Bottom-line” – Line #15.010

This amount must not go below \$-0- or the district general fund will violate all Ohio Budgetary Laws. Any multi-year contract, which is knowingly signed, and which results in a negative unencumbered cash balance, is a violation of O.R.C. §5705.412, which is punishable by personal liability of \$10,000; unless an alternative 412 certificate, as permitted by HB153, effective September 30, 2011, could be issued. It is recommended that a district maintains a minimum of thirty (30) day cash balance.

	<u>FY26</u>	<u>FY27</u>	<u>FY28</u>	<u>FY29</u>	<u>FY30</u>
Ending Unreserved Cash Balance Line #15.01	<u>\$18,325,582</u>	<u>\$15,098,495</u>	<u>\$21,036,378</u>	<u>\$24,206,854</u>	<u>\$25,696,700</u>

True Cash Days Ending Balance

Another way to look at ending cash is to state it in ‘True Cash Days’. In other words, how many days could the district operate at year-end if no additional revenues were received? This is the Current Years Ending Cash Balance divided by 365 (Current Years Expenditures/365 days) = the number of days the district could operate without additional resources or a severe resource interruption. The government Finance Officers Association recommends that no less than two (2) months or 60 days of cash is on hand at year-end. Still, it could be more depending on each district's complexity and risk factors for revenue collection. This is calculated, including transfers, as this is a predictable funding source for other funds such as capital, athletics, and severance reserves.



As you read through the notes and review the forecast, remember that the forecast is based on the best information available to us when the forecast is prepared.